

A rustic wooden table with a Moka pot, a ceramic mug, and a small pitcher. The table is made of thick, weathered wooden planks. The Moka pot is silver with a black handle. The ceramic mug is light brown with a dark rim. The small pitcher is dark brown. The background is a plain, light-colored wall.

Bright Coffee Shop

Prepared by Fuzo Mntungwa

Agenda

- ◆ Project Overview
- ◆ Data Overview & Preparation
- ◆ Summary of Data Analysis
- ◆ Key Insights
- ◆ Recommendations





Project Overview

This project aims to examine data from sales transactions over a period of 6 months (Jan – May 2023) to grow company revenue and improve product performance.



Data Overview and Preparation

Dataset Overview

Data Source: Internal CRM from the Sales
Department

Size: 20 Columns & 149117 rows

Key Columns: transaction date, store location,
transaction quantity, time bucket, revenue per row
& spend bucket



Data Preparation

String replacement

- ◆ Fixed format of text data by replacing comma with a dot in unit price column.

Amending data types

- ◆ Converted unit price column from string to numerical format.

Feature engineering

- ◆ Created time buckets and spend buckets.
- ◆ Created "revenue by row" column from multiplication of unit price by transaction quantity.
- ◆ Converted timestamps to required formats for analysis.



Summary of Data Analysis

Total Revenue: \$698812.33

Total Units Sold: 214470

Average revenue: \$4.68

Best-selling product: Barista Espresso

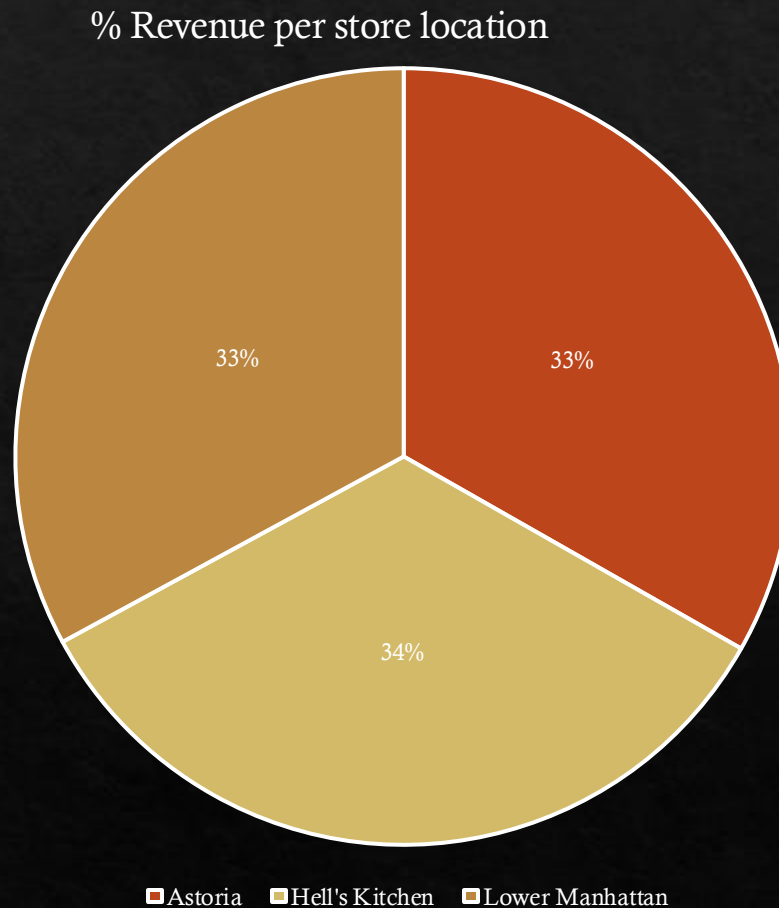
A close-up shot of a barista's hands pouring milk from a spoon into a cup of coffee. The coffee has a beautiful, intricate latte art design on its surface. The background is slightly blurred, showing a white cloth and some kitchen equipment.

Key Insights

A hand holding a wooden sign that reads 'WELCOME WE ARE OPEN PLEASE COME IN'. The sign is hanging from a string, and the background is a blurred outdoor scene with greenery.

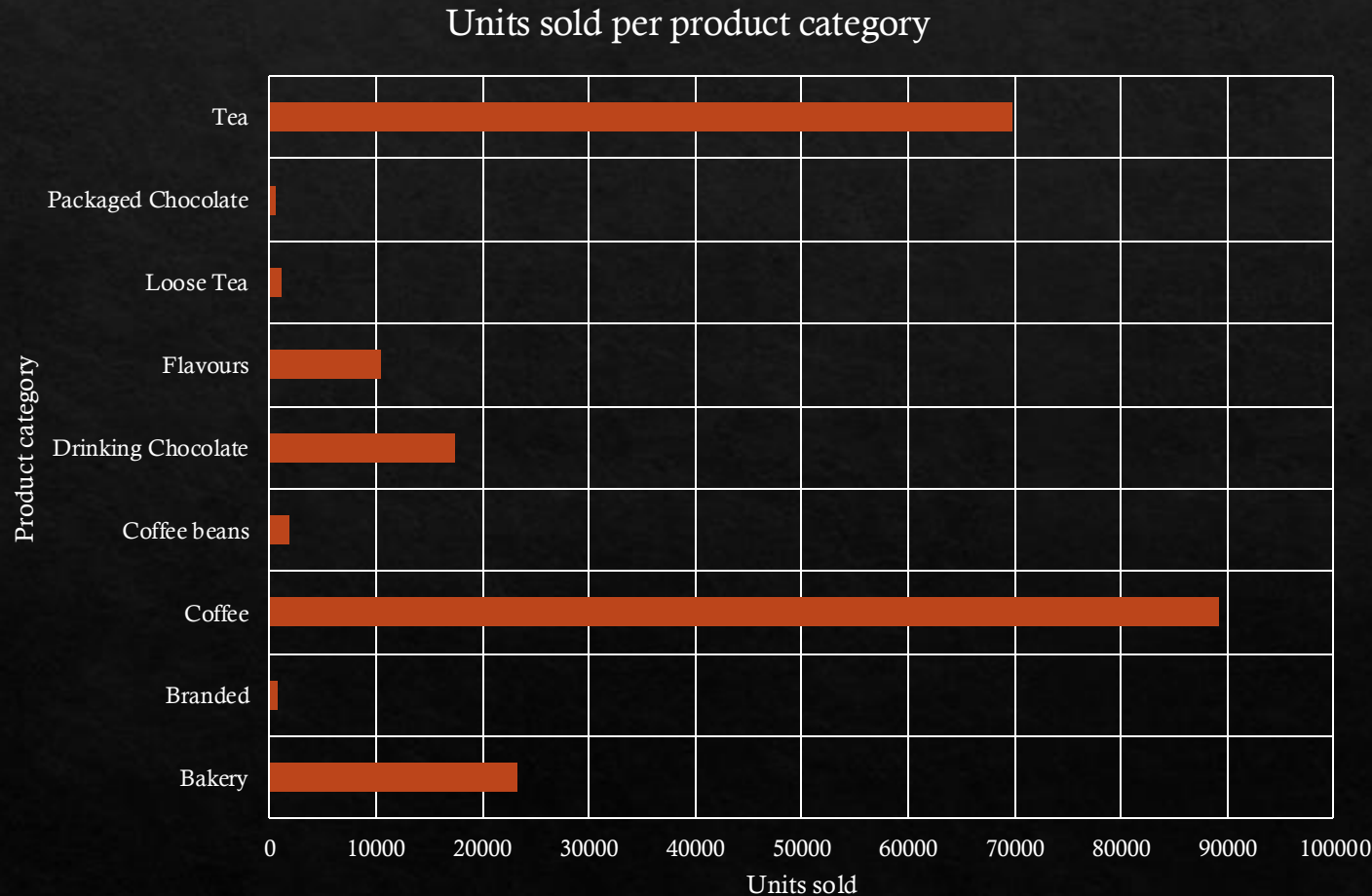
WELCOME
WE ARE
OPEN
PLEASE COME IN

Revenue per store location



- ◇ Hell's kitchen had the highest revenue of all store locations by slightly over 1%.
- ◇ This proves that growth opportunities are being missed especially in areas where the market can afford to pay more for expensive products.
- ◇ This is an opportunity to re-evaluate the local market and introduce more expensive products in wealthier neighbourhoods.

Units sold per product category



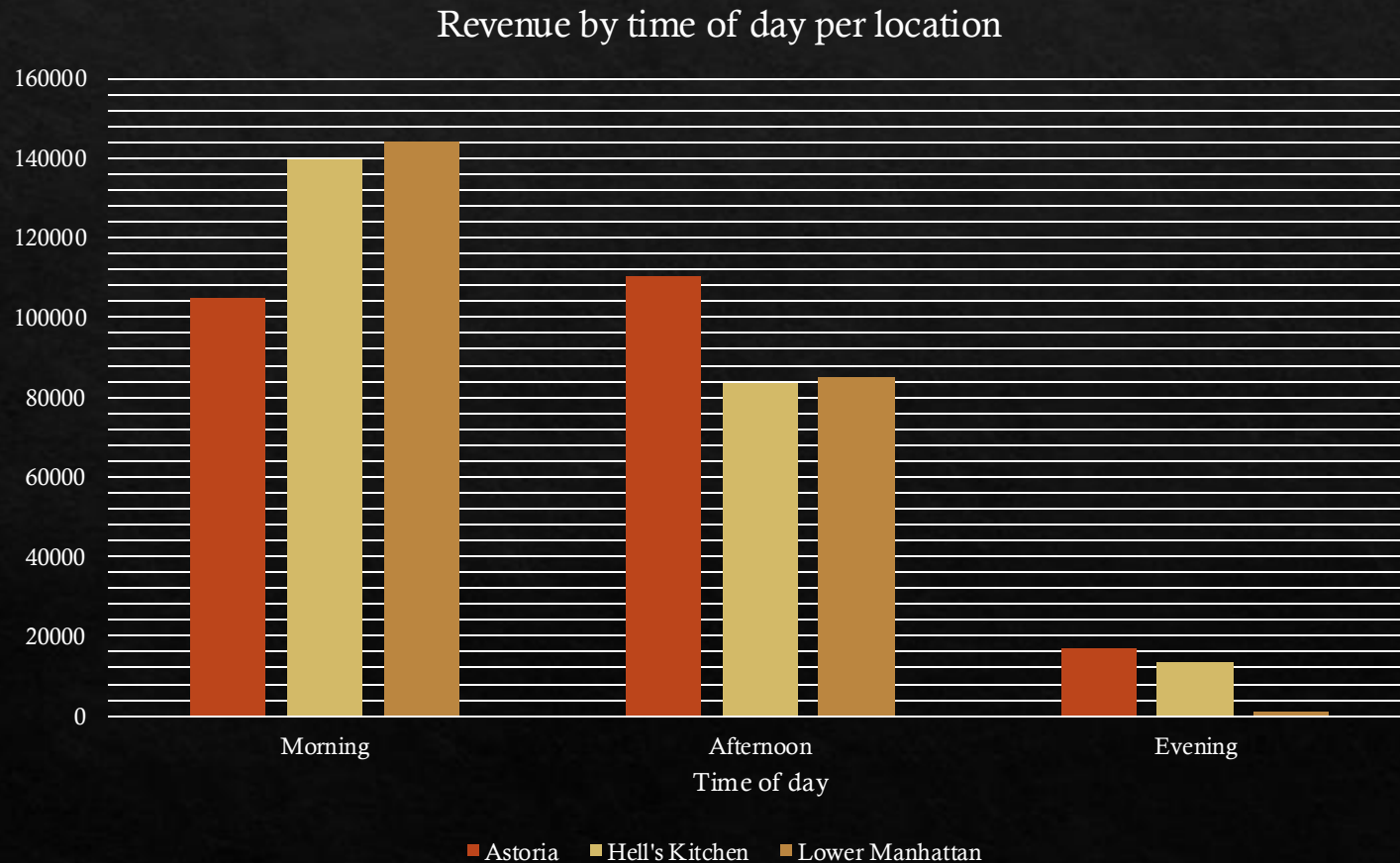
- ◇ Coffee was the most sold product, followed by tea and bakery while packaged chocolate generated the least.
- ◇ Adding more variety to our coffee, tea and bakery products will result in more sales which further increases company revenue.

Revenue per month



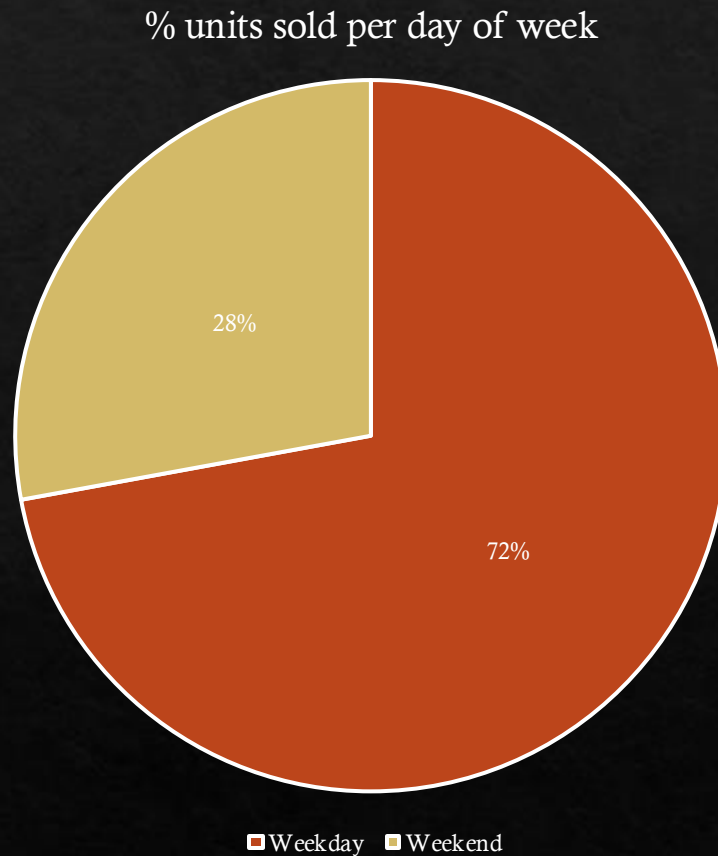
- ◇ Revenue increased linearly through the months with June having the highest revenue in the January to June cycle.
- ◇ Targeted marketing at the start of winter months could prove to be beneficial for the company.

Revenue by time of day per location



- ◇ The morning proves to be the most profitable time of day for all locations except Astoria, which makes more revenue in the afternoon. The evening generated the least revenue in all store locations.
- ◇ This is to be expected due to the nature of the business.
- ◇ This is an opportunity to expand the menu to include products which can be enjoyed any time of the day.

% units sold per day of week

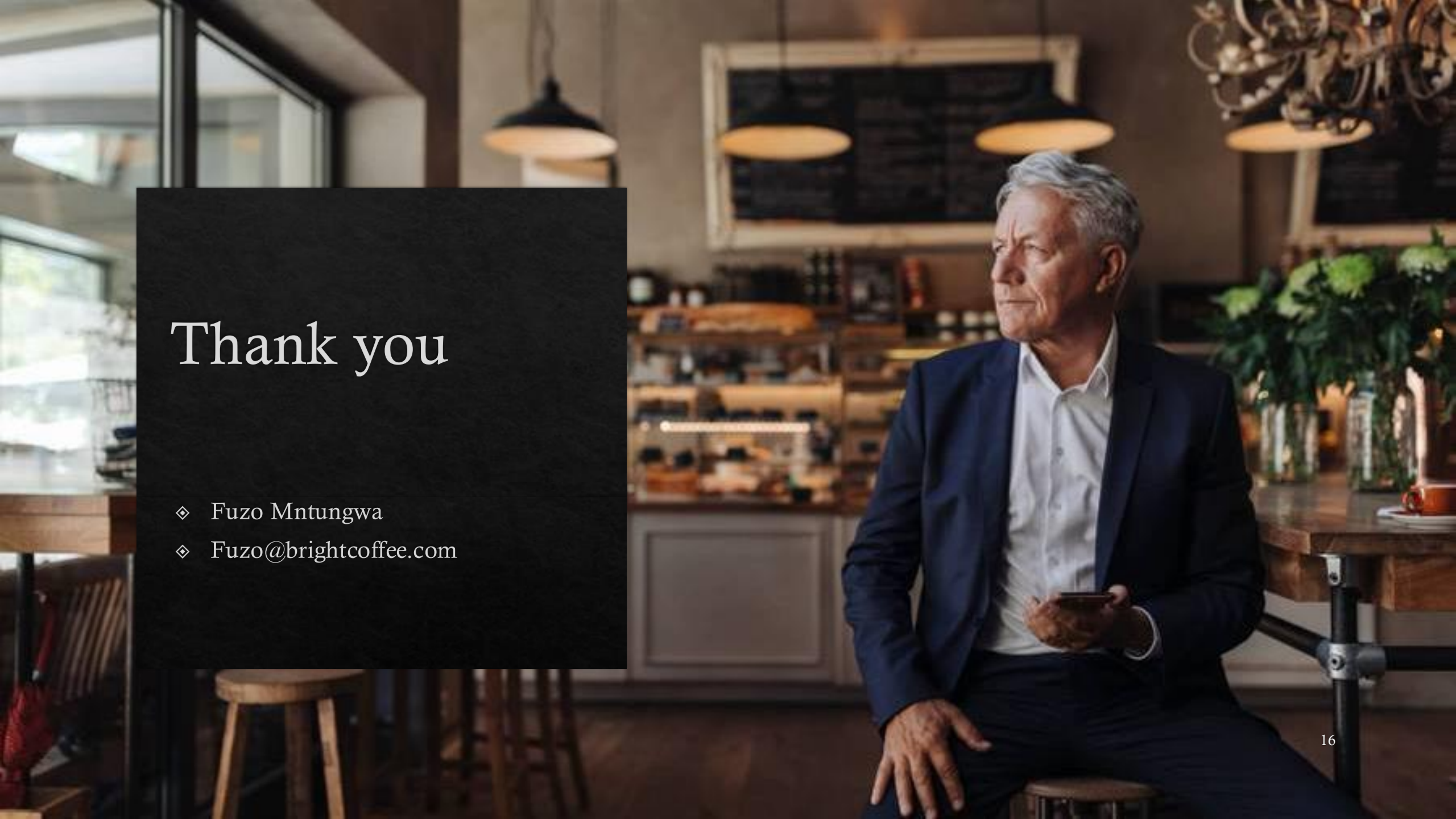


- ◇ More units were sold during weekdays than weekends.
- ◇ This further iterates the need for menu expansion which covers all times of the day to maximize the number of products sold.
- ◇ This will allow customers to enjoy our products even on days where they are not going to work.



Recommendations

- Launch targeted marketing campaigns to drive traffic when sales dip.
- Introduce items that can be enjoyed all times of the day to maximize revenue.
- Create special promotions to boost products during winter months.
- Introduce more expensive options in affluent areas.
- Expand into offering products which can be enjoyed any time of the day.

A photograph of an older man with grey hair, wearing a dark blue suit jacket over a light blue shirt, sitting on a wooden stool in a cafe. He is looking off to the side with a thoughtful expression. The background shows a cafe interior with shelves of coffee beans, hanging pendant lights, and a chalkboard menu. A large black rectangular box is overlaid on the left side of the image, containing the text 'Thank you' and two diamond-shaped bullet points.

Thank you

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